

If I take 42% of \$5 and add it to the breakout price, I should get a better estimate of how far price might rise. If the breakout is at \$25 (price retraced a dollar in the pennant before breaking out upward), the target would be $25 + \$5 \times 42\%$ or 27.10.

How long will it take to reach the target? Say it took 11 days to rise to the top of the flagpole. The time multiplier is $10/(11 + 10)$ or 48%. So I'd take 48% of 11 days (or 6 days, rounded up) and that's what I would add to the breakout date. If it's a weekend, then you're on your own.

Experience

Let me tell you about what I found in my trade review.

Coherent

It's one thing to lose money, but to do it quickly always bugs me. Like this pennant trade in Coherent (COHR), shown in [Figure 48.5](#).

I found an event pattern called an earnings flag. The stock made a breakaway gap up on stronger than expected earnings. The flagpole begins at A and ends at B. Price retraced and made a pennant pattern, not a flag.